

researching where you invest your hard-earned money so you have a sense of confidence in how your money is invested. Because at the end of the day, clever girls are not about that stress-and-panic life. Especially not because we didn't do our research before we made an investment decision.

#thanksbutnothanks

So, let's get into some key things to look for as you begin to research your investments. I'll be looking at both individual stocks and index funds with the examples in this section.

THINGS TO LOOK FOR WHEN RESEARCHING INVESTMENTS

Before you decide to make an investment, here are five key things you should be looking for that will help you get a good sense of the level of risk associated with each investment and help you make good investing decisions based on your goals and comfort level:

1. The company or fund's financial situation and plans
2. The company or fund's historical performance
3. The company or fund's main objectives and future projections of performance
4. Any associated expenses and/or fees
5. Other considerations, like the company's or fund's leadership track records and media mentions

Let's go over each of these one by one.

1. The company or fund's financial situation and plans

Any company that issues publicly traded stock is required to issue an annual report to its shareholders. These reports include information on the company's financial state, such as its balance sheet (details of its assets, liabilities, profits, losses, and available capital); its revenue and expenses; its short- and long-term objectives and plans for growth; its strategy for navigating competition; and more. Funds are